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US Economic Update: June 1, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	28-May-26	21-May-26	15-May-26	14-May-26	13-May-26	12-May-26
	3.8	4.3	4.3	4.0	3.8	3.8

PCE inflation surges to its highest level in nearly three years

- Consumer prices, as measured by the personal consumption expenditure (PCE) price index, rose 0.4% in April. Rising energy prices continue to push overall consumer prices up. In April, prices of energy goods and services went up by 3.9% after an 11.6% increase in the previous month. Yet, it's not just energy where price pressures are increasing. Prices of durable goods, for example, were up by 0.6% in April.

  Compared to a year ago, PCE prices were up 3.8% in April (also called inflation), the highest in nearly three years. Core PCE inflation, which is closely tracked by the Federal Reserve (Fed), rose to 3.3% in April. That's the highest level since November 2023 and is much above the Fed's 2% target. Rising inflation complicates the monetary policy outlook as the Fed balances between risks to inflation and the labor market. Given rising inflation, it is unlikely that the Fed will have room to cut rates in the near term.
- Real (or inflation-adjusted) consumer spending rose 0.1% in April, down from a 0.3% increase in March. Spending on durable goods fell 0.6% in April while services spending growth picked up slightly from the previous month to 0.2%. Overall, consumer spending growth remains subdued amid rising inflation and declining consumer sentiment. According to the second estimate for national accounts data, consumer spending growth in Q1 2026 was revised down to 1.4% from a previous estimate of 1.6%.
- In April, real disposable personal income fell 0.5% in April. That was the third consecutive monthly decline, especially as inflation edges up. Consumers, however, continued to spend more by dipping into their savings. Consequently, the personal savings rate fell to 2.6% in April, the lowest level since June 2022.
- Corporate profits grew at a seasonally adjusted annual rate of 3.8% in Q1 2026, slowing from a 26.3% increase in the previous quarter. The dip in profits growth likely suggests softer demand and pressure on margins from rising cost of production.
- Consumer confidence, as measured by the Conference Board, fell to 93.1 in May from 93.8 in April. Consumers' expectations improved in May, but they appear wary about present conditions due to higher inflation and a slowdown in job growth.
- Shipments of non-defense capital goods excluding aircraft (or core capital goods) grew 0.4% in April. In March, shipments had risen by 1.3%. Compared to a year ago, shipments were up 7.6% in April, indicating continued strength in business investment.

Figure 1. With inflation steadily edging further up from the Fed's 2% target, hopes are dimming for any interest rate cut in the near term

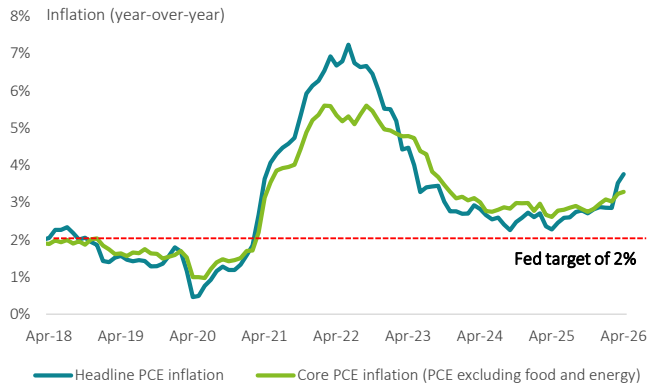


Figure 2. The personal savings rate fell to 2.6% in April as consumers continue to draw down savings to spend more



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Apr change	3-month avg ch	12-month avg ch	Trend
115,000	48,000	20,000	

Unemployment rate

Apr value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.3	0.0	0.0	

Real disposable personal income

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.5	-1.1	-1.1	

Real personal consumer expenditure

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	2.1	

Nominal retail sales

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	3.1	4.9	

Conference Board consumer confidence index

May value	1-month ch	3-month ch	Trend
93.1	-0.7	2.1	

Housing permits

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
4.4	2.2	-1.5	

Manufacturing industrial production

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.0	1.3	

Shipments of core capital goods

Apr growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	3.0	7.6	

Trade balance

Mar value (US$ billion)	1-month ch	3-month ch	Trend
-60.3	-2.5	12.6	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
1.6	0.5	2.6	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
3.8	26.3	12.0	

Financial markets

Equity markets

S&P 500 on May 29	1-week ch (%)	1-year ch (%)	Trend
7580.1	1.4	28.2	

Treasury yield spread (10 yr - 2 yr)

Spread on May 29	1-month ch(ppts)	3-month ch(ppts)	Trend
0.47	-0.05	-0.1	

CBOE volatility index (VIX)

VIX on May 29	1-week ch	4-week ch	Trend
15.3	-1.4	-1.6	

Kansas City Fed financial stress index (KCFSI)

Apr index	1-month ch	3-month ch	Trend
-0.7	-0.1	0.0	

Inflation

Consumer price index (CPI)

Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.8	3.8	

Core CPI (CPI excluding food and energy)

Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.8	2.8	

Core PCE (PCE price index excluding food and energy)

Apr change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.9	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.